

CEO Review 2024

Significant profitability improvement in a challenging market situation

In 2024, Finland's economic situation remained modest through the entire financial period, which was reflected by the financial situation of our segments. We continued our persistent and active profitability measures, which secured a significant improvement in profitability.

Especially the first half of the financial year reflected the uncertain situation of the markets and the delays in the investment decisions of customers. This resulted in weaker demand for many of our segments. The market recovery expected for the second half of the year was delayed, but positive development is expected to be seen in 2025. Despite the challenging market situation, net sales increased during the financial period at Oscar Software and Hygga, for example.

Improving profitability was an essential goal for us in the 2024 financial period, and our segments have made committed efforts to achieve it. Profitability has improved in all of our segments. The profitability of the entire Group increased significantly in 2024, which resulted in an improvement of MEUR 3.6 in EBIT.

I am happy that we were able to boost profitability to a substantially higher level despite the weak demand and the resulting two-percent drop in overall net sales. I would like to thank the teams of our segments for their hard work.

A slow year for the corporate acquisition market

Making new investments is a key focus of our strategy. The corporate acquisition market has been difficult in 2024. Talouselämä's statistics indicate that the year was the weakest of the ten years examined, and the record acquisition numbers that were achieved a few years ago were roughly halved.

Over the course of the 2024 financial period, we made active efforts to explore new investment opportunities. That said, the higher interest level of the market and the uncertainty of the economic outlook have weighed down activity in corporate acquisitions. Moreover, the valuation environment has remained extremely challenging in certain areas, and the competition for acquisitions has remained fierce.

I believe that the eventual drop in interest rates and improvement in the economic situation will impact activity in the corporate acquisition market. I am also confident that the valuation levels will gradually recover to a more normal level. In 2025, we will continue to work on new investment opportunities with an active approach.

Panostaja's team and competence were strengthened in line with the strategy

There were changes to Panostaja's team in 2024 with a new CFO and development director. This change has strengthened us and provided us with fresh insight regarding the economy, investment and development. We have been able to utilize the new expertise across our existing segments to support the development of business management and product development, for example. The new members of the management team also bolster the strategic segment focus with regard to software business, because both of them have extensive experience in the area. In the future, we will be able to utilize our expertise in portfolio companies and future investments even better than before, thanks to the strong business-related understanding.

In 2024, we continued our responsibility strategy efforts and worked to lay the foundation for reporting according to the CSRD standard, in particular. As part of these efforts, we have engaged in active dialogue with our stakeholders and assessed our responsibility goals. We have also promoted extensive responsibility work in our segments.

In 2025, we will continue with our chosen strategic themes, with an emphasis on updating our portfolio through new investments in the services and software sectors. We anticipate that the recovery of the corporate acquisition market can contribute to supporting this goal. In the coming year, we will continue our efforts to build profitable business. We expect to see cautiously positive general economic development in the 2025 financial period. That being said, we will not rely on it and will, instead, continue to focus on measures to improve the competitiveness and efficiency of our segments.

Tapio Tommila
CEO

 [Return back](#)

panostaja

panostaja.fi

Kalevantie 2, 33100 Tampere
panostaja@panostaja.fi

